UNITED STATES BANKRUPTCY COURT
WESTERN DISTRICT OF NEW YORK

THE CONTINENTAL INSURANCE COMPANY, successor by merger to Commercial Insurance Company of Newark, and Fireman's Insurance Company of Newark, New Jersey,
Plaintiff,

v.

THE DIOCESE OF ROCHESTER,
Defendant.

Case No. 19-20905 (PRW)
Chapter 11 Case
Adv. Proc. No. 23-02014 (PRW)

MEMORANDUM OF LAW IN SUPPORT OF: (I) THE DIOCESE OF ROCHESTER'S MOTION TO DISMISS THE ADVERSARY COMPLAINT OF THE CONTINENTAL INSURANCE COMPANY; AND (II) THE DIOCESE OF ROCHESTER'S OBJECTION TO THE APPLICATION OF THE CONTINENTAL INSURANCE COMPANY FOR ALLOWANCE AND PAYMENT OF ALLEGED ADMINISTRATIVE EXPENSE PRIORITY CLAIMS

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PRELIMINARY STATEMENT

The Diocese respectfully submits that the Complaint [Adv. Pro. 23-02014, Docket No. 1] (the "Complaint") and Application for Allowance and Payment of Administrative Expense Priority Claims for Debtor's Breach of Continental Settlement Agreement [Docket No. 2314] (the "Administrative Expense Application") filed by Continental Insurance Company, successor by merger to Commercial Insurance Company of Newark, New Jersey, and Fireman's Insurance Company of Newark, New Jersey ("CNA"), are part of a baseless and ultimately futile attempt to limit CNA's litigation exposure in this Chapter 11 Case by relying upon an unexecuted, nonbinding, and unenforceable proposed settlement agreement that, while negotiated in good faith, has been resoundingly opposed by creditors and the subject of pointed criticism by this Court.

Through both the Complaint and the Administrative Expense Application, CNA asserts claims of breach of contract and anticipatory breach of contract against the Diocese. However, CNA has failed to meet its burden to demonstrate that an enforceable contract was ever formed between CNA, the Diocese, and approximately 100 of its parishes and other related Catholic entities (collectively, the "DOR Entities") who are all necessary parties to any insurance settlement agreement.

Under New York law, for CNA to recover upon its claims, there must be an enforceable contract between the parties. However, CNA and the DOR Entities did not enter into such a contract. Instead, they unequivocally expressed their intent that the Proposed CNA Settlement Agreement would only become effective and binding on the parties thereto, if, among other things, the Court approved the proposed settlement and the parties formally signed and executed the proposed settlement agreement. The Court has not approved the proposed settlement and

none of the DOR Entities ever signed the proposed settlement agreement. Accordingly, by its clear terms, the Proposed CNA Settlement Agreement has never become effective or binding, and CNA cannot now try to hold the Diocese liable for any alleged breach.

In addition, the Proposed CNA Settlement Agreement contains numerous conditions precedent, which must be satisfied before it could ever become a binding obligation of the DOR Entities. At least four conditions precedent have not occurred: (1) the Proposed CNA Settlement Agreement has not been signed by the DOR Entities; (2) the Court has not entered an order approving the Proposed CNA Settlement Agreement pursuant to Bankruptcy Rule 9019; (3) a plan of reorganization consistent with the terms of the Proposed CNA Settlement Agreement has not been confirmed; and (4) a post-confirmation trust has not been established to receive any settlement payments from CNA. Even if all other conditions precedent were satisfied, without bankruptcy court approval, a debtor-in-possession cannot be bound to a settlement agreement.

Assuming, *arguendo*, that CNA could establish the formation of an enforceable contract, CNA has failed to properly allege breach or damages.

FACTUAL BACKGROUND

On November 1, 2022, the Diocese and the Committee reached an agreement on a restructuring support agreement (the "RSA"). Pursuant to the RSA, the Diocese and the Committee agreed to pursue a plan of reorganization in which Abuse Claims would be satisfied from a trust to be funded by (i) the DOR Entities' contribution in the amount of $55,000,000; (ii) the proceeds received from any settling insurers pursuant to insurance settlement agreements; and (iii) the assignment of insurance claims against non-settling insurers to the trust.

On November 3, 2022, the Diocese filed a motion seeking entry of an order by the Court approving the RSA [Docket No. 1790] (the "RSA Approval Motion"). The insurers and the U.S.

Trustee objected to the RSA Approval Motion. As of the date of this Memorandum, the Court has not heard or ruled upon the RSA Approval Motion and all discovery response deadlines are stayed pending further Court order.

In early 2023, the Diocese and Committee agreed to insurance settlements with LMI, Interstate, and Underwriters, leaving CNA as the sole major non-settling insurer. There are presently two competing plans before the Court. The joint plan filed by the Diocese and the Committee, as amended [Docket No. 2217] (the "Joint Plan") which incorporates the terms of settlement with the Committee as set forth in the RSA, and CNA's plan which largely mirrors the Joint Plan except that it limits CNA's exposure to a single payment of $75 million.

On November 7, 2023, CNA filed the Complaint and Administrative Expense Application.

On December 18, 2023, the Diocese sent to CNA a notice, in which the Diocese reiterated to CNA its position that the Proposed CNA Settlement Agreement was not a binding or enforceable contract [Docket No. 2390] and therefore could not serve as the basis for an administrative expense claim. In an abundance of caution, the Diocese also provided to CNA notice pursuant to section 5.2 of the Proposed CNA Settlement Agreement, that the Diocese is invoking its right to terminate the agreement if, in fact, it is found to be legally enforceable. Pursuant to section 5.3 of the Proposed CNA Settlement Agreement, upon such termination, "all parties shall retain all of their Interests, rights, and obligations relating to the Diocese Policies as if this Agreement never existed." Proposed CNA Settlement Agreement, § 5.3 (emphasis added).

On December 19, 2023, the Court held a preliminary hearing to consider approval of both disclosure statements for both the Joint Plan and the CNA plan and scheduled an adjourned hearing for further consideration on January 30, 2024. At such hearing, the Court indicated that a confirmation hearing was unlikely to be heard before late April 2024, at the earliest.

ARGUMENT

I. The Motion to Dismiss Should be Granted.

The Diocese respectfully submits that the Motion to Dismiss should be granted because there is no enforceable contract between the DOR Entities and CNA.

a. Applicable legal standard for the Motion to Dismiss the Complaint.

Pursuant to Rule 7012(b) of the Bankruptcy Rules, Rule 12(b)(6) of the Civil Rules applies in adversary proceedings. To survive a motion to dismiss under Rule 12(b)(6), a complaint "must contain sufficient factual matter, accepted as true, 'to state a claim to relief that is plausible on its face.'" Ashcroft v. Iqbal, 556 U.S. 662, 678 (2009) (quoting Bell Atl. Corp. v. Twombly, 550 U.S. 544, 570 (2007)). A complaint's factual content must allow the court to draw a reasonable inference that the defendant is liable for the conduct alleged, establishing more than "a sheer possibility that a defendant has acted unlawfully." Id.; see Twombly, 550 U.S. at 555 (emphasizing that the courts do not accept conclusory allegations as true). Conclusory allegations and legal conclusions masquerading as facts will not suffice to defeat a motion to dismiss. Achtman v. Kirby, McInerney & Squire, LLP, 464 F.3d 328, 337 (2d Cir. 2006). Thus, a pleading must cross the "line between possibility and plausibility of 'entitlement to relief.'" Iqbal, 556 U.S. at 678 (quoting Twombly, 550 U.S. at 557). Where the allegations in the complaint "are 'merely consistent with' a defendant's liability," they "stop[] short of th[at] line." Id. (quoting Twombly, 550 U.S. at 557).

To state a claim upon which relief can be granted for breach of contract or anticipatory breach of contract, a plaintiff must first allege sufficient facts establishing the existence of a binding and enforceable contract. See 34-06 73, LLC v. Seneca Ins., 198 N.E.3d 1282, 1287 (N.Y. 2022) ("[T]o plead a cause of action for breach of contract, a plaintiff usually must allege

that: (1) a contract exists; (2) plaintiff performed in accordance with the contract; (3) defendant breached its contractual obligations; and (4) defendant's breach resulted in damages.") (citations omitted) (emphasis added).

b. New York law requires a signed contract under these circumstances.

A binding and enforceable contract exists under New York law only if the plaintiff establishes "an offer, acceptance of the offer, consideration, mutual assent, and an intent to be bound." Kasowitz, Benson, Torres & Friedman, LLP v. Duane Reade, 98 A.D.3d 403, 404 (1st Dep't 2012); Galarneau v. D'Andrea, 184 A.D.3d 1064, 1065-66 (3d Dep't 2020); Wilson v. Triller, Inc., 598 F. Supp. 3d 82, 94 (S.D.N.Y. 2022); Coe v. Coca-Cola Co., 2023 WL 7524396, at *7 (W.D.N.Y. Nov. 14, 2023).

When two parties clearly and unequivocally express their intent to be bound by an agreement only after it has been reduced to writing and signed, but the parties subsequently fail to either reduce the agreement to writing or sign it, there is neither the requisite mutual assent nor the intent to be bound by the agreement necessary to give rise to a binding and enforceable contract. See Scheck v. Francis, 26 N.Y.2d 466, 469-70 (1970) ("It is well settled that, if the parties to an agreement do not intend it to be binding upon them until it is reduced to writing and signed by both of them, they are not bound and may not be held liable until it has been written out and signed."); Jordan Panel Sys. v. Turner Const. Co., 45 A.D.3d 165, 169 (1st Dep't 2007) (explaining that New York courts "will give effect to a party's clearly stated intention not to be contractually bound until it has executed a formal written agreement").

Under such a situation, there is no basis for a claim for breach of contract and dismissal of any such claim is the necessary and appropriate form of relief. StarVest Partners II, LP v. Emportal, Inc., 101 A.D.3d 610, 612 (1st Dep't 2012) ("Dismissal of the breach of contract counterclaims is required where, as here, the parties have agreed that there would be no binding

agreement until their execution of a written contract, but no such contract was ever executed."); Amcan Holdings, Inc. v. Can. Imperial Bank of Commerce, 70 A.D.3d 423, 426 (1st Dep't 2010) ("Generally, where the parties anticipate that a signed writing is required, there is no contract until one is delivered."); Metro. Steel Indus., Inc. v. Citnalta Const. Corp., 302 A.D.2d 233, 233 (1st Dep't 2003) ("Plaintiff's breach of contract claim was properly dismissed since it is undisputed that the parties were aware that there would be no binding agreement until their execution of a written subcontract, which never occurred.").

c. The Proposed CNA Settlement Agreement contains numerous conditions precedent that must be satisfied before a binding contract is formed.

The Proposed CNA Settlement Agreement contains numerous conditions precedent, which have not been satisfied, including some which are highly unlikely ever to be satisfied as noted by the Court in its May 23 Decision. "A condition precedent is 'an act or event, other than a lapse of time, which, unless the condition is excused, must occur before a duty to perform a promise in the agreement arises.'" Bedoya v. Rodriguez, 186 A.D.3d 1308, 1309 (2d Dep't 2020) (quoting Oppenheimer & Co. v. Oppenheim, Appel, Dixon & Co., 86 N.Y.2d 685, 690 (2d Dep't 1995) (quoting Calamari and Perillo, Contracts § 11-2 at 438 [3d ed])). A condition precedent can be a condition to the formation or existence of a contract. See Oppenheimer 86 N.Y.2d 685 at 690. Where a written agreement is based upon the satisfaction of a condition precedent, "no contract arises unless and until the condition occurs." Id., see also Kapson Const. Corp. v. ARA Plumbing & Heating Corp., 227 A.D.2d 484, 484 (2d Dep't 1996). Where the clear written intent of the parties indicates that any agreement is subject to the occurrence of certain conditions precedent, and such conditions do not occur, the parties are not bound. See West Hills Auto Repair v. State, 32 A.D.3d 849, 850 (2d Dep't 2006) (Where acceptance of an offer was expressly conditioned upon the approval of the Comptroller of the State of New York and

claimant presented no evidence showing that the Comptroller approved the agreement, claimant failed to make a prima facie showing that the agreement was in existence or was breached when the offer was rescinded by the state."); see also Felipe v. 2820 W. 36th St. Realty Corp., 20 A.D.3d 503, 504 (2d Dep't 2005) ("[I]t is undisputed that the defendant did not subsequently mail a fully-executed copy of the contract to the plaintiffs' attorney, as expressly required under paragraph 17 of the rider to the contract. Because the delivery requirement was a condition precedent to the formation of any binding agreement, it could not be waived by the defendant."); Brois v. DeLuca, 154 A.D.2d 417, 417 (2d Dep't 1989) (affirming order granting defendant's motion to dismiss plaintiff's claim for breach of contract because condition precedent requiring delivery of an executed copy of the underlying agreement was never satisfied).

The Proposed CNA Settlement Agreement provides, at section 8.21, that "[t]his Settlement Agreement shall be effective on the Settlement Agreement Effective Date." Proposed CNA Settlement Agreement, § 8.21. The "Settlement Agreement Effective Date" is defined as follows:

> the day following the date on which all of the following have occurred: (i) all Parties have executed this Settlement Agreement; (ii) the [settlement] Approval Order shall have become a Final Order; (iii) the Plan Confirmation Order shall have become a Final Order; (iv) the Trust shall have been created pursuant to the Plan; and (v) solely in the event Continental elects to set off more than Two Million Dollars ($2,000,000) in Defense and Indemnity Costs against the Settlement Amount pursuant to section 2.3.4, (x) Continental shall have provided written notice of the Diocese of the amount of such setoff, (y) the Diocese shall not have exercised its right pursuant to Section 5.2 to terminate this Settlement Agreement

on account of such proposed setoff, and (z) ten (10) days shall have elapsed from the date of Continental's delivery of such notice to the Diocese.

Proposed CNA Settlement Agreement, § 1.1.41 (emphasis added).

CNA fails to allege that the Settlement Agreement Effective Date has occurred, which it cannot, because several conditions precedent have not occurred. Specifically: (1) the Proposed CNA Settlement Agreement was never signed by the DOR Entities; (2) the Court has not entered a final order pursuant to Bankruptcy Rule 9019 approving the Proposed CNA Settlement Agreement; (3) no plan of reorganization implementing the Proposed CNA Settlement Agreement has been confirmed; and (4) no trust to receive CNA's settlement payment has been formed.

CONCLUSION

CNA's Complaint fails to state a cause of action upon which relief can be granted because, in part, no contract was ever formed between the DOR Entities and CNA. In addition, through the Administrative Expense Application, CNA fails to meet its evidentiary burden that it is entitled to an administrative priority claim. Accordingly, the Diocese respectfully submits that the Court should grant the Diocese's Motion to Dismiss, and further deny CNA's Administrative Expense Application.

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